was safe, the value of my portfolio had shrunk considerably. I had been careful, though, to stay away from the flavour-of-the-season mid-cap and small-cap shares, most of which turned out to be junk. Not that I did not invest in any second-line shares at all; but I had consciously kept them to less than 20 per cent of my portfolio. Having been around in the market for nearly three decades, I had seen plenty of upcoming blue chips vanish without a trace. The returns from the tried-and-tested frontline stocks may not be spectacular, but over a longer period of time they are both handsome as well as consistent. Trading profits are never consistent, however skilled a trader may be. And even the most disciplined of traders are known to suffer from the occasional attack of overconfidence, which can at times be fatal.

Across the globe, central banks and governments had begun taking steps to halt the rapid slide in their respective economies. ‘Economic stimulus’ and ‘bailout package’ suddenly became the buzzwords as the unravelling crisis in financial markets threatened to push the real economy off the cliff.

Back in India, many retail brokerages had started to lay off employees. The situation was to get worse in the coming months. In many cases, the brokerages themselves were to blame for the mess they had got into. In their pursuit of a higher valuation, many had embarked on a reckless expansion spree, adding branches and manpower. Private equity investors and foreign institutions, who were willing to pay exorbitant prices for a stake in broking firms not long ago, suddenly became choosy and tight-fisted. Owners of brokerages realized that they could no longer demand high valuations based merely on the number of branches they had. Brokerages knew that many of their clients had made such heavy losses that they were unlikely to return in a hurry. New clients showing up in the foreseeable future seemed altogether unlikely. The brokerages did not see the need for too many employees even at their profitable centres now.

November brought its share of misery, the developments rattling the entire nation. On the evening of 26 November, a group of armed terrorists from Pakistan entered Mumbai by sea and went on a rampage, killing 166 people, including 28 foreigners, across key locations in South Mumbai. This was the most vicious terror attack on the city since the serial blasts in March 1993 that killed 350.

Though the stock exchanges were closed for trading the following day, both the Sensex and the Nifty ended the day with modest gains when trading resumed on November 28. That the markets appeared unfazed may